

Financial and Operational Profile of the Nonprofit Arts Sector in Houston, TX

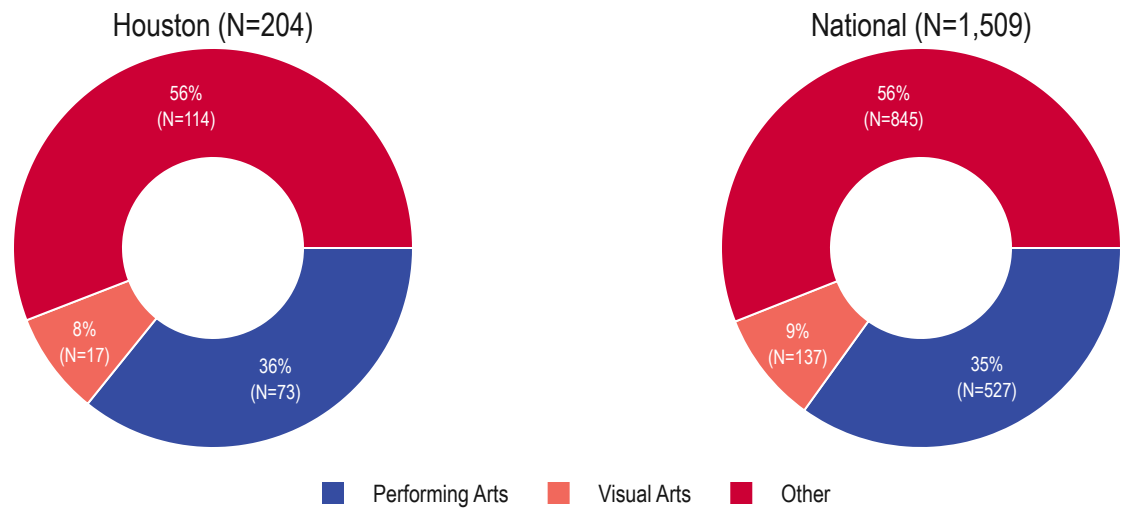
This custom report was developed through the City Arts Data Exchange joint initiative of SMU DataArts and Bloomberg Associates. The City Arts Data Exchange brings together a growing group of local arts agencies to align data collection efforts towards shared learning. This report provides insights on the 2025 financial and operational metrics among nonprofit arts and culture organizations in Houston, TX, benchmarked against a national dataset maintained by SMU DataArts. An update comparing Houston, TX data to other city arts sectors specifically will also be provided when available.

Cohort Profile

The cohort of arts and cultural organizations analyzed spans a range of sizes and artistic disciplines. Insights throughout this report draw on available HAA operating support grant application submissions for FY26, compared against the nationwide set of FY25 Cultural Data Profile records included in this analysis. The national benchmark therefore reflects all included FY25 CDP organizations, not only organizations from cities participating in the City Arts Data Exchange. Understanding the composition of the cohort provides important context for how the metrics that follow should be read.

Organizations by Discipline

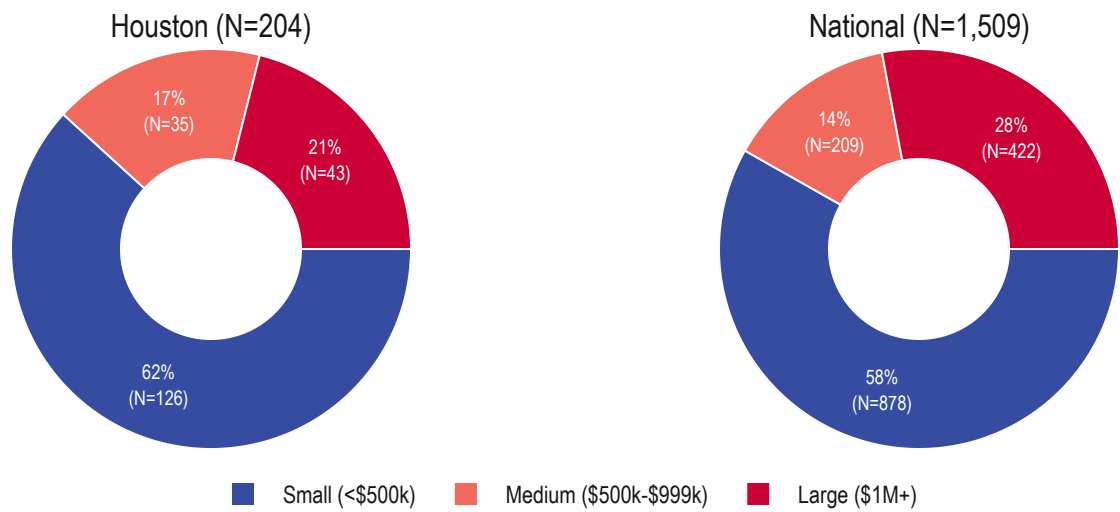
Organizations by Discipline



For this analysis, we split organizations into three artistic disciplines: visual arts organizations, performing arts organizations, and other arts organizations. Throughout the report, 'other' arts organizations refers to a broad group of nonprofit cultural organizations whose work is not primarily centered on visual or performing arts production, including those focused on community, history, education, and service roles within the arts and cultural sector. The categories are derived from NTEE classifications: Performing Arts includes A6, A27, and A84 prefixes; Visual Arts includes A3, A4, A51, and A53 prefixes; Other includes remaining or unclassified arts and culture organizations.

Organizations by Budget Size

Organizations by Budget Size



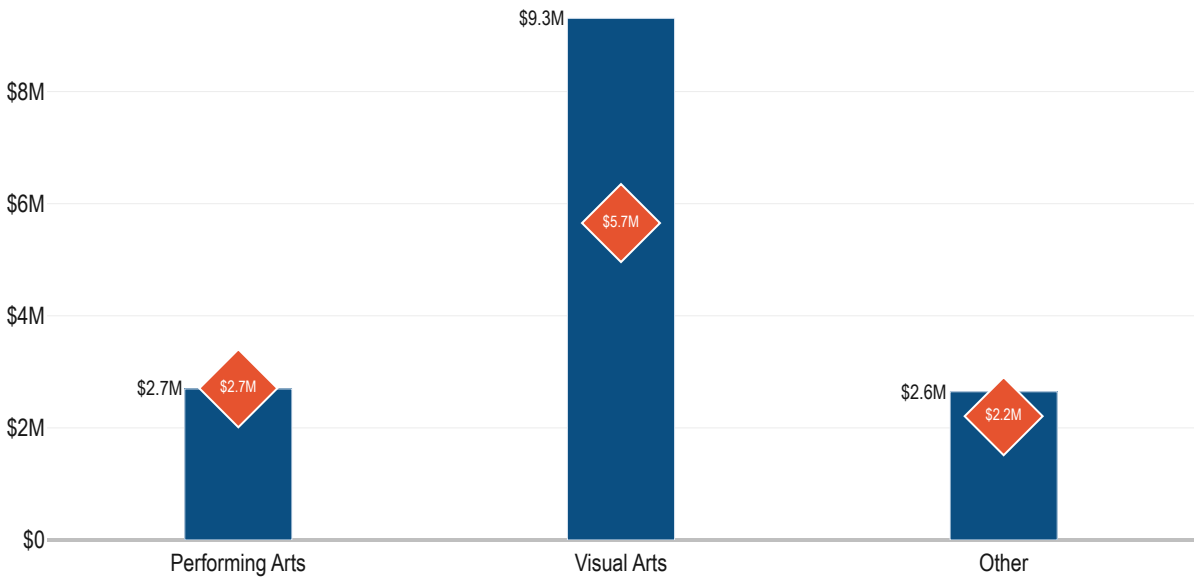
Budget size is based on total expenses: Small is less than \$500,000; Medium is \$500,000 to less than \$1 million; Large is \$1 million or more.

Average Total Expenses

Spending levels for cultural organizations are important indicators of cultural activity, workforce employment, and overall ecosystem health. Higher expenses typically mean more performances, exhibitions, and educational programs; more artists, technicians, and administrators employed; and more work for suppliers, venues, and service providers throughout the creative economy.



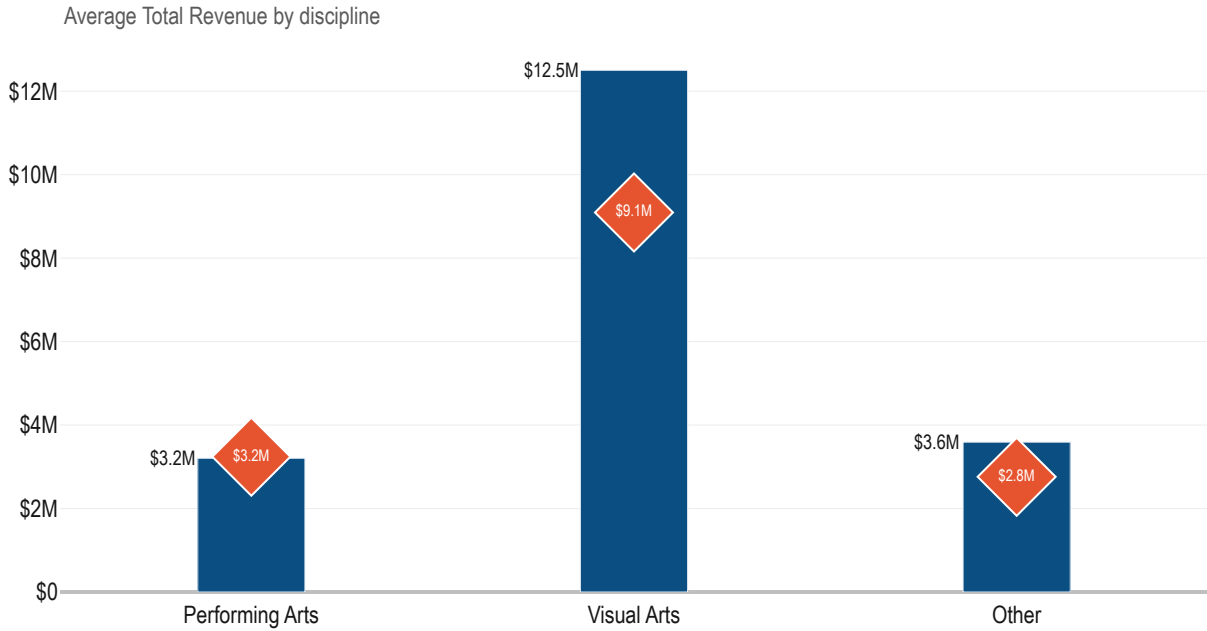
Average Total Expenses by discipline



Funding & Financial Health

Average Total Revenue

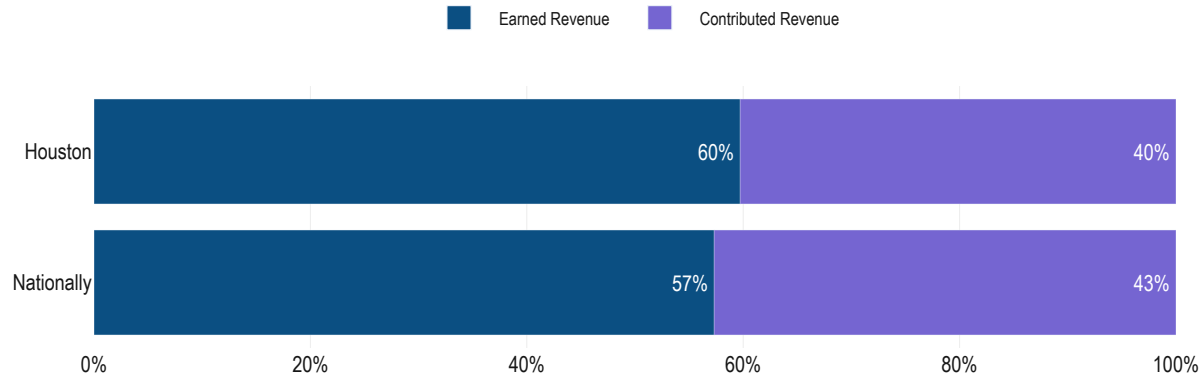
Revenue is the clearest measure of the financial resources fueling a city's arts sector—combining earned income (ticket sales, program fees) with contributed income (donations, grants, sponsorships, and government support). Revenue trends indicate market and philanthropic demand for cultural work with the caveat that many cultural organizations provide vital programming for free to community members, and that value may not be fully reflected in their revenues.



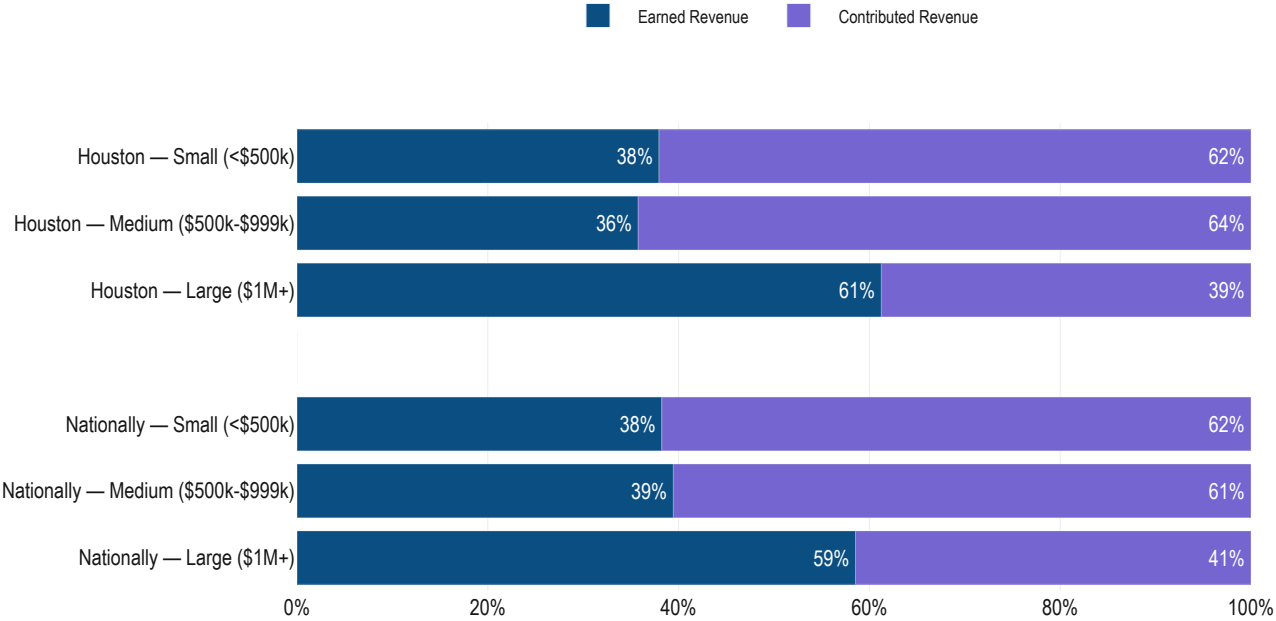
Earned vs. Contributed Revenue

The balance between earned and contributed revenue shows how organizations combine market-based income, such as admissions and program fees, with contributed support from individuals, foundations, corporations, and government. Comparing this mix across organization sizes and disciplines provides context for the different revenue models that support arts and cultural organizations.

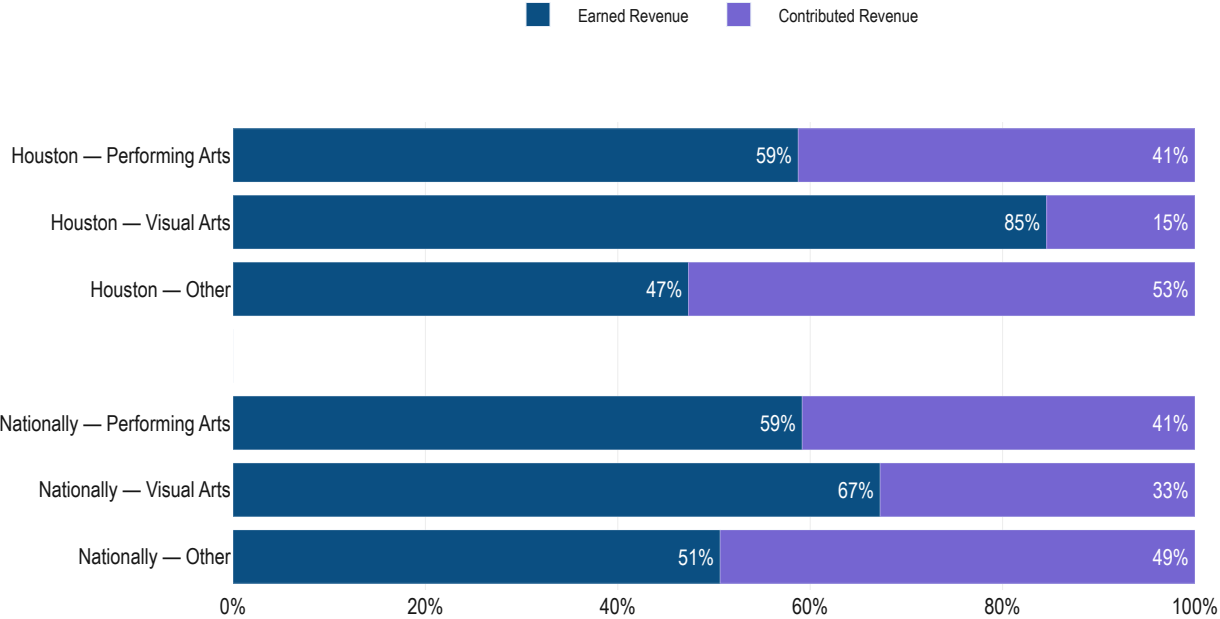
Earned vs. contributed revenue



Earned vs. contributed revenue by budget size



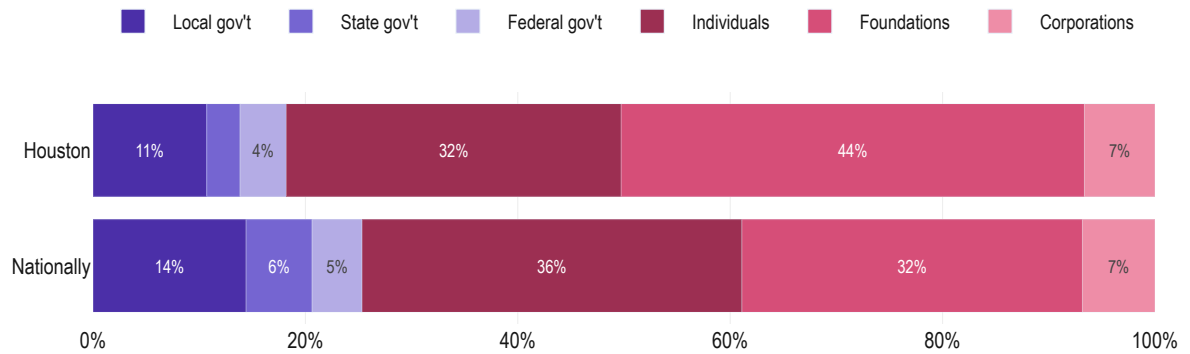
Earned vs. contributed revenue by discipline



Sources of Contributed Revenue

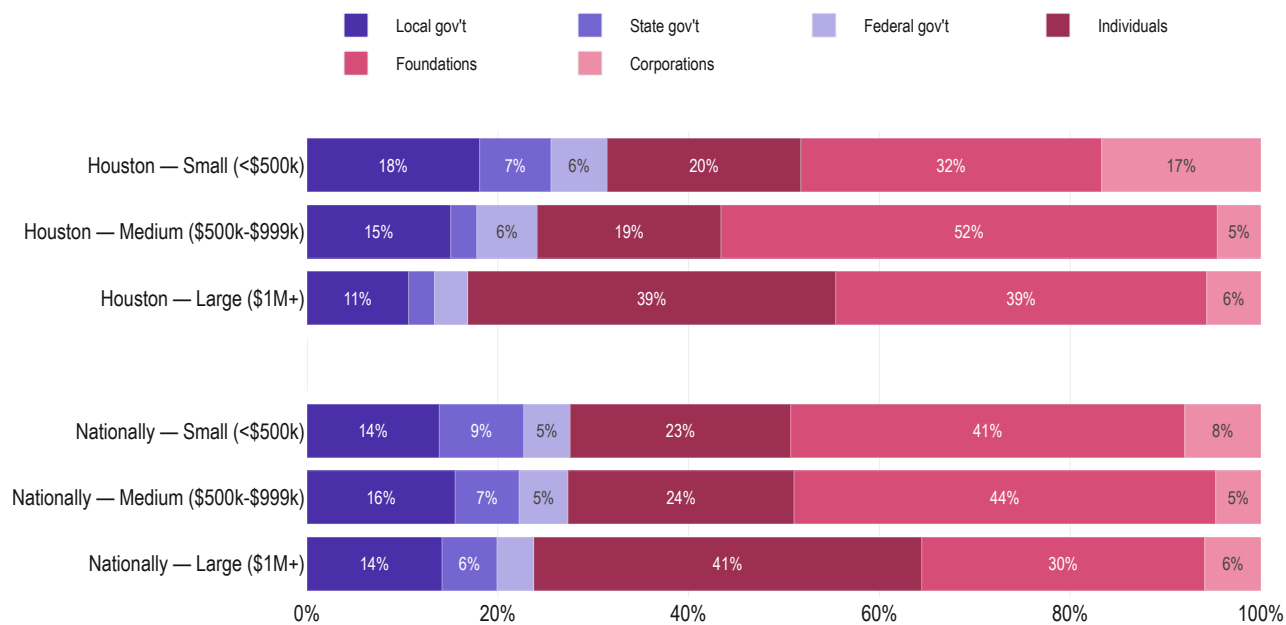
The sources of contributed revenue provide insight into the financial relationships that sustain a city's cultural sector. The mix of individual, foundation, corporate, and government support can reveal how broadly organizations are connected to their communities and funders, as well as where the sector may be particularly dependent on or vulnerable to changes in a single source of support.

Sources of contributed revenue

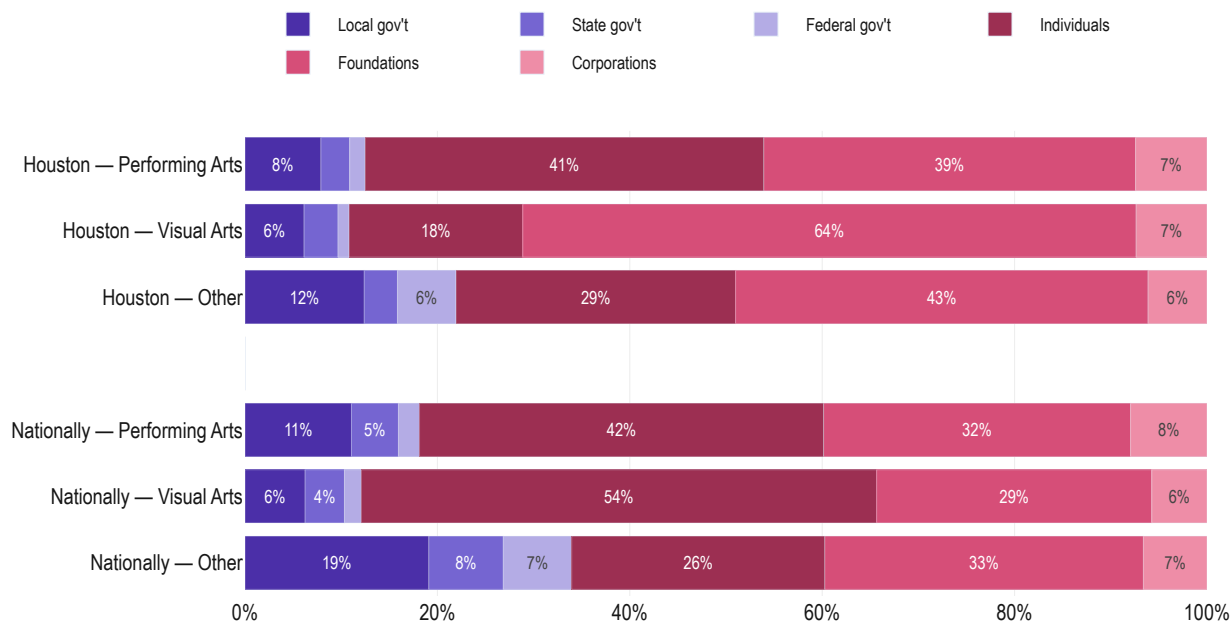


Funding mixes vary by artistic discipline and budget size—a reflection of differing funding opportunities, community support, and organizational models.

Sources of contributed revenue by budget size

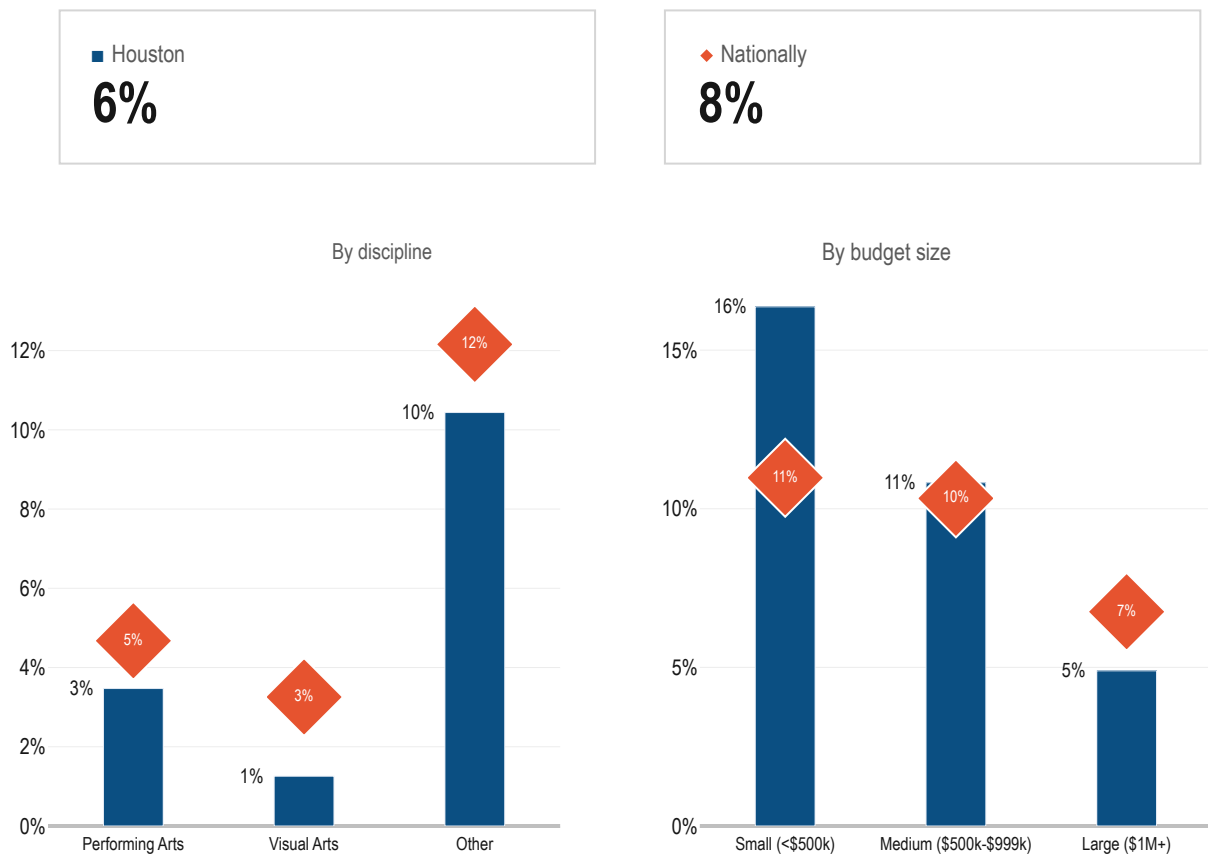


Sources of contributed revenue by discipline



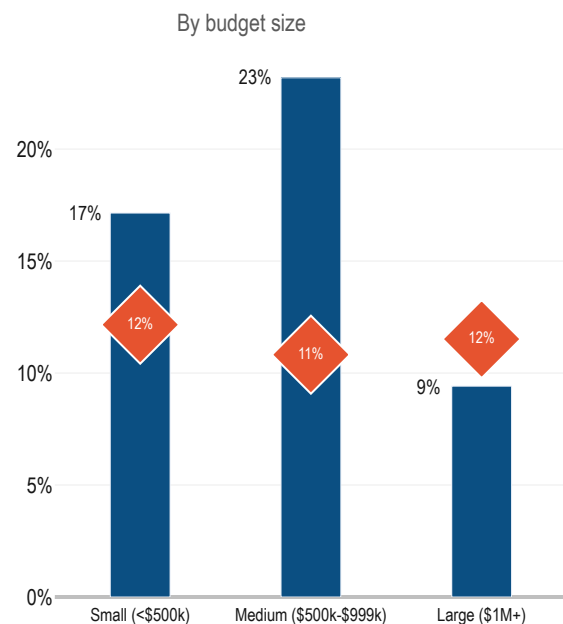
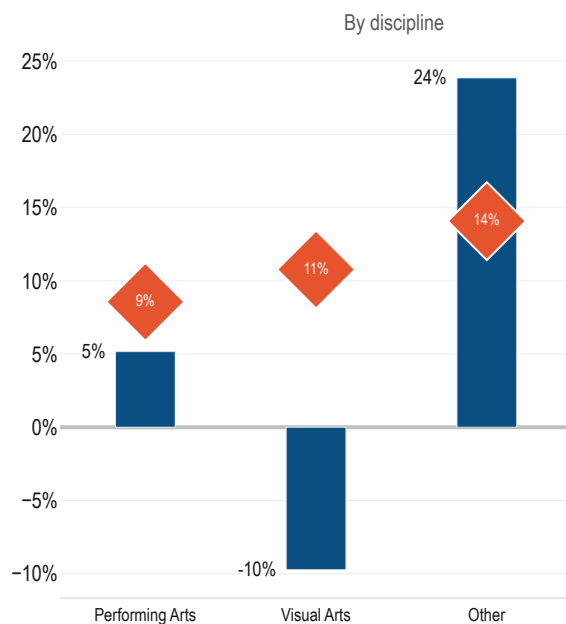
Local Government Support as % of Expenses

Local government support is an important indicator of public investment in a city's cultural sector and the extent to which cultural organizations rely on public funding to sustain their operations. Examining government support relative to expenses provides a useful measure of the scale of that investment and helps put local funding in context across cities and over time. For example, a value of 5% indicates that local government support is equivalent to 5% of average organizational expenses.



Operating Surplus/Deficit as % of Expenses

Operating surplus or deficit as a percentage of expenses provides insight into the financial position of a city's arts sector. Higher values indicate that organizations are retaining a larger share of revenue after covering expenses, while lower or negative values indicate organizations are operating closer to break-even or at a deficit. Persistent surpluses can provide organizations with resources to invest in their people, programs, and infrastructure, while recurring deficits may signal financial strain and limited capacity to absorb unexpected costs or changes in revenue.



Workforce Capacity

Percentage of Expenses Spent on Personnel

Personnel expenses as a percentage of total expenses show how organizations balance investments in the workforce (including full-time, part-time, and contracted workers) against other operating needs. Higher percentages indicate that a larger share of organizational resources is directed toward staff and other personnel costs rather than programs, space, or overhead. The number of full-time staff also reflects the sector's contribution to local employment and the extent to which cultural organizations provide stable, ongoing jobs for arts workers and administrators.

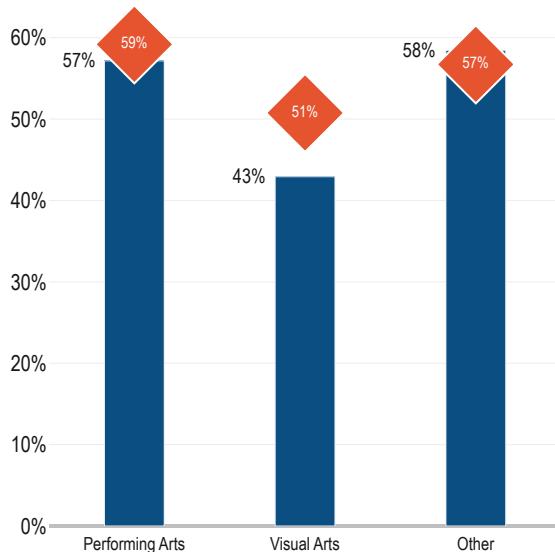
■ Houston

54%

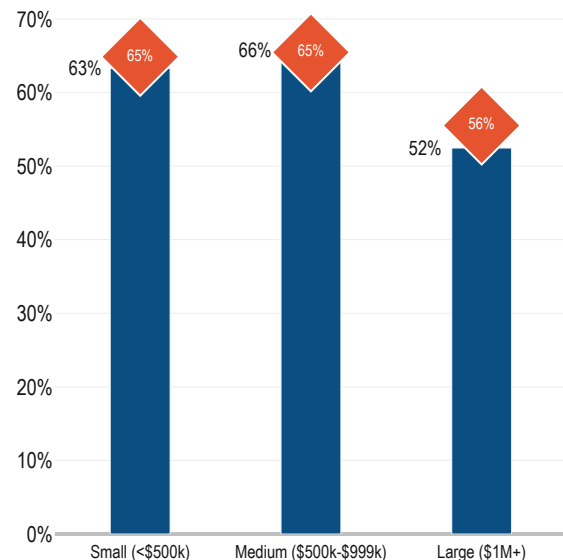
◆ Nationally

56%

By discipline

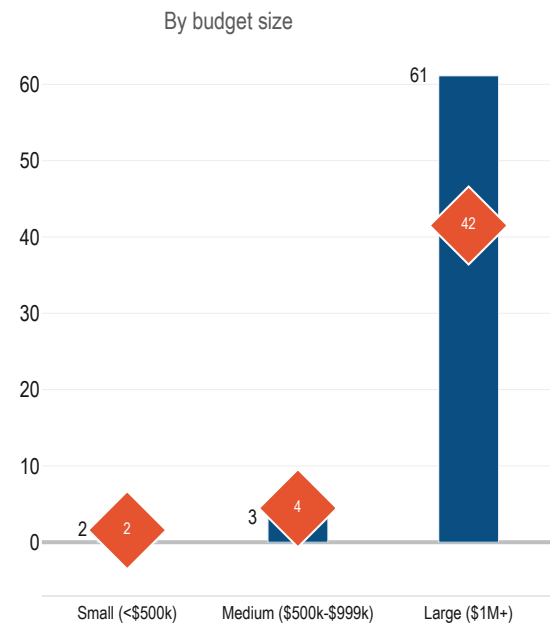
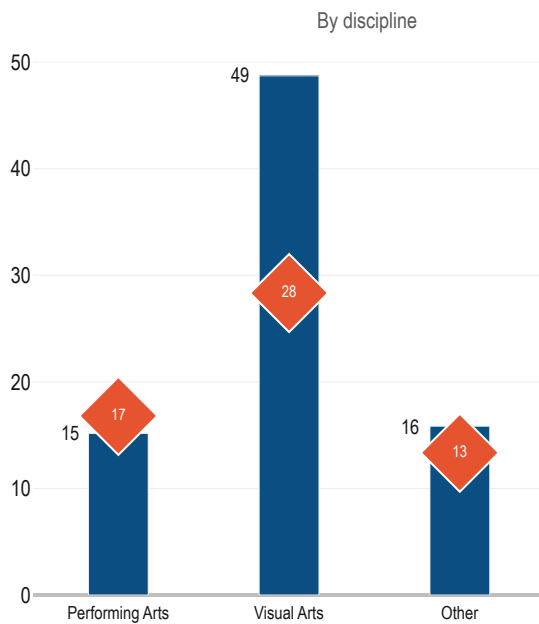
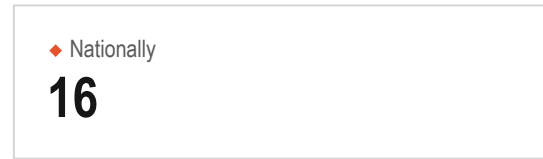
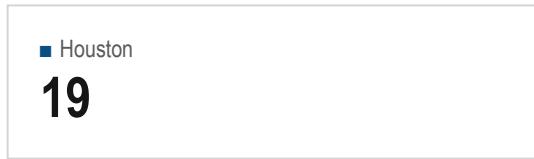


By budget size



Average Full-Time Staff

Full-time staff represent the permanent workforce capacity supporting a city's arts sector, often providing the continuity that keeps operations, programs, and services running year-round.



Average Part-Time Staff

Part-time staff give the sector flexibility—bringing specialized expertise and adaptable capacity to support programs, events, and seasonal demands. Cultural organizations often rely on part-time employees for artistic, technical, educational, administrative, and front-of-house work, making part-time staffing an important indicator of both workforce opportunity and organizational program capacity.

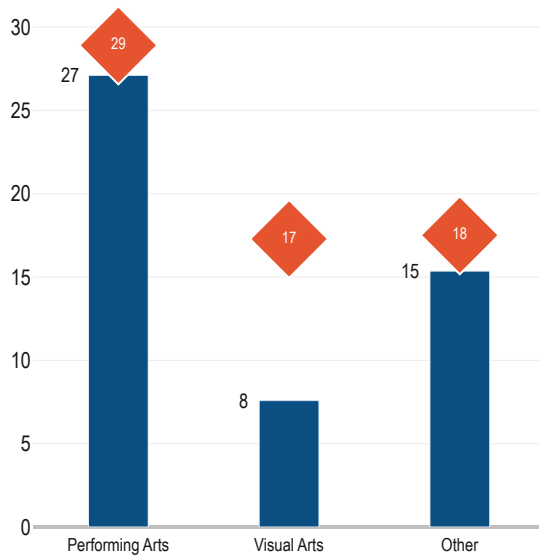
■ Houston

18

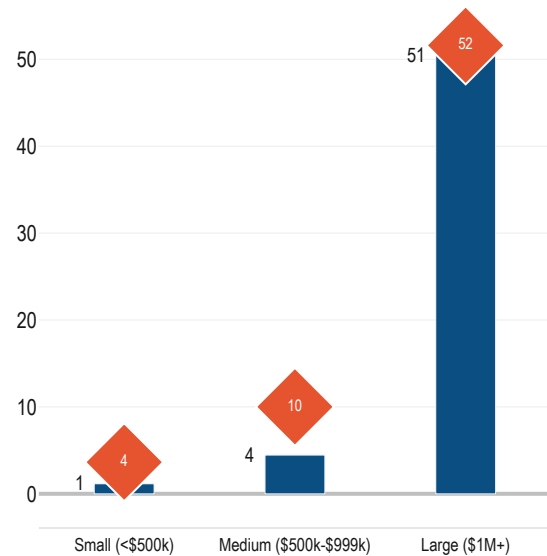
◆ Nationally

22

By discipline



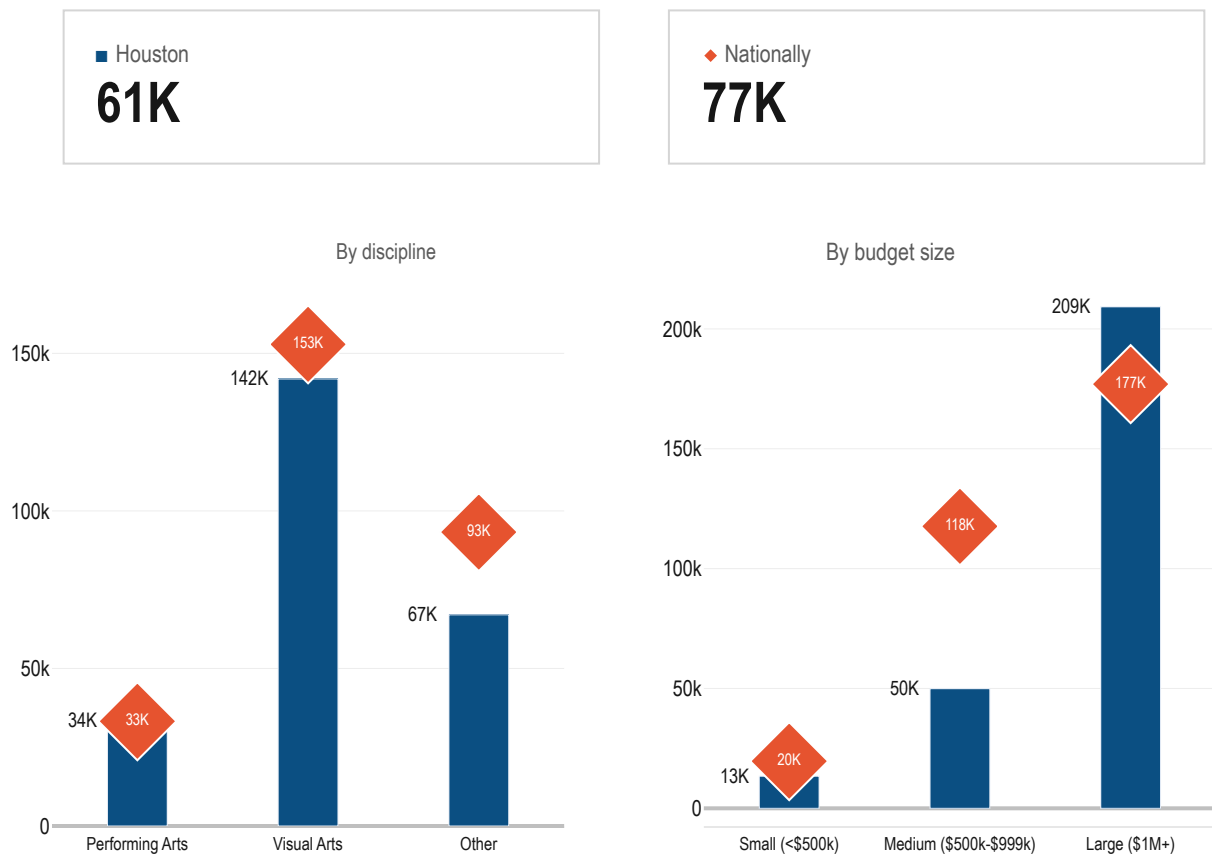
By budget size



Audience Reach

Average Total Attendance

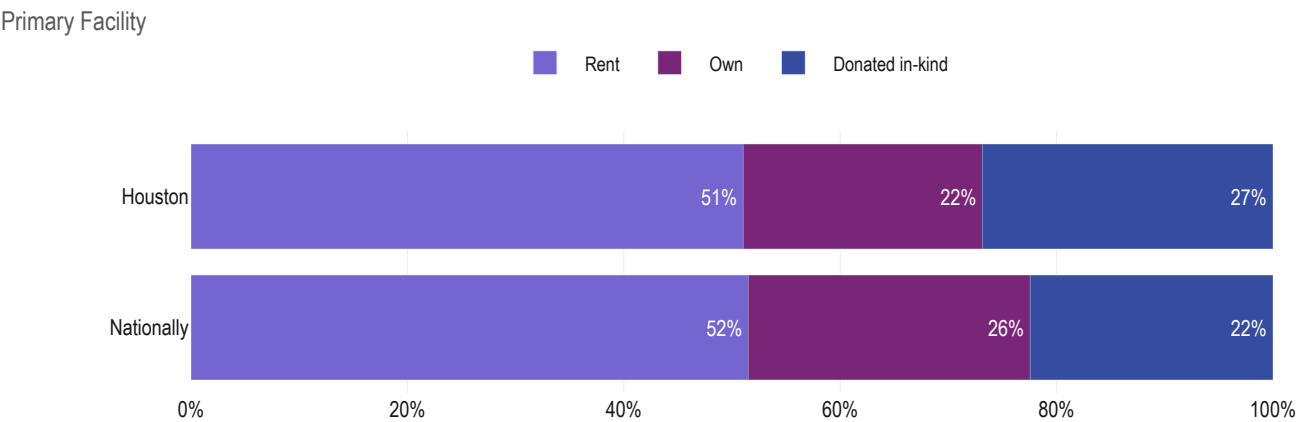
Attendance provides a direct measure of the reach of cultural organizations through paid and free, in-person and virtual programming, and the extent to which residents and visitors engage with cultural activity. Changes in attendance can reflect shifts in public demand, programming capacity, audience access, and broader patterns of community engagement, making it an important indicator of the cultural sector's connection to its audiences.



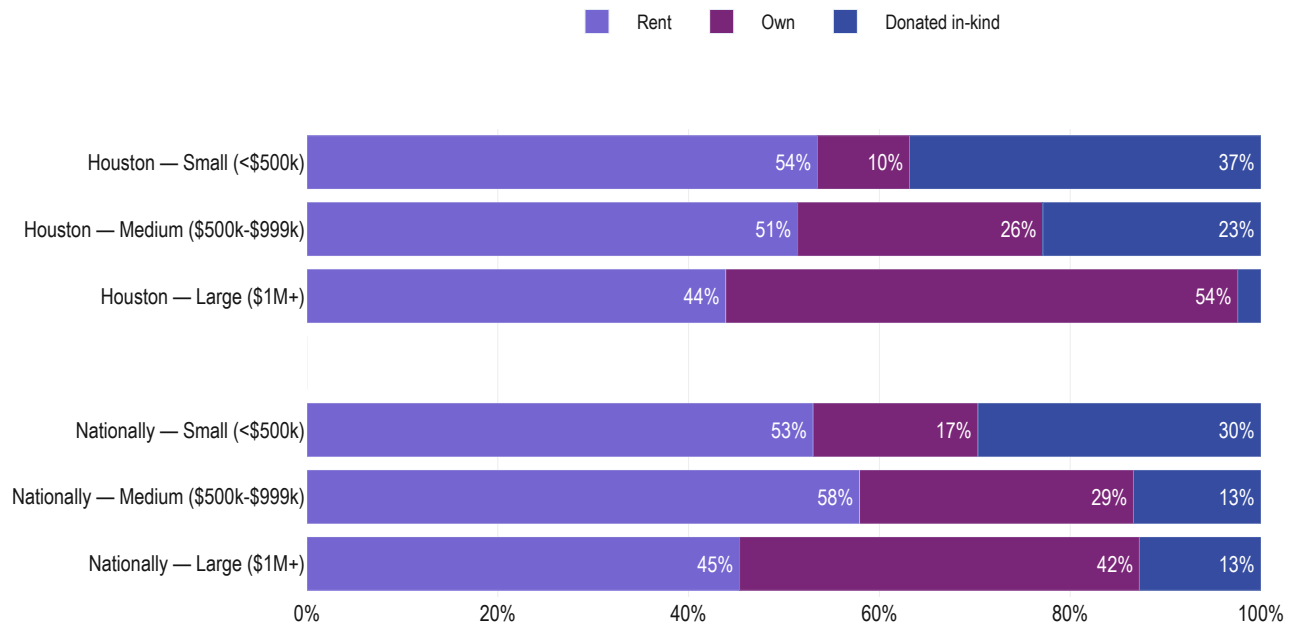
Facilities & Space

Primary Facility

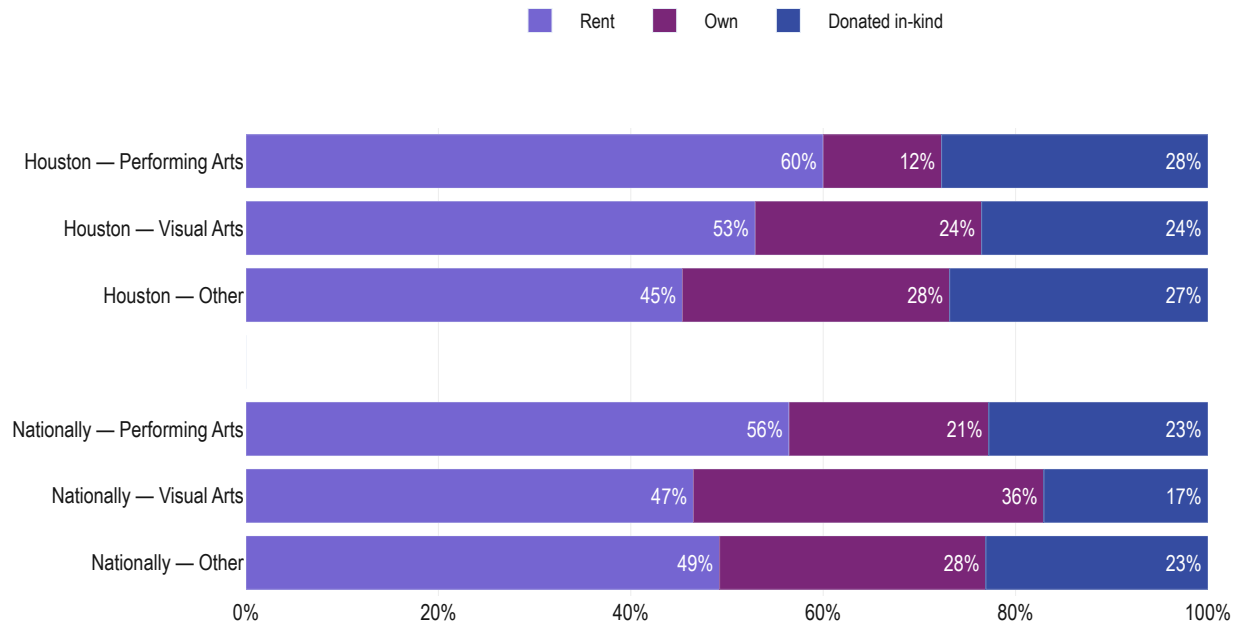
How organizations access their primary facility provides insight into the infrastructure that supports arts and cultural activities across the city. Facility arrangements shape both the financial stability and operating capacity of cultural organizations. Owning, renting, or receiving space through an in-kind arrangement can substantially affect expenses, access to appropriate facilities, and the resources organizations have available for programming and workforce investment.



Primary Facility by budget size



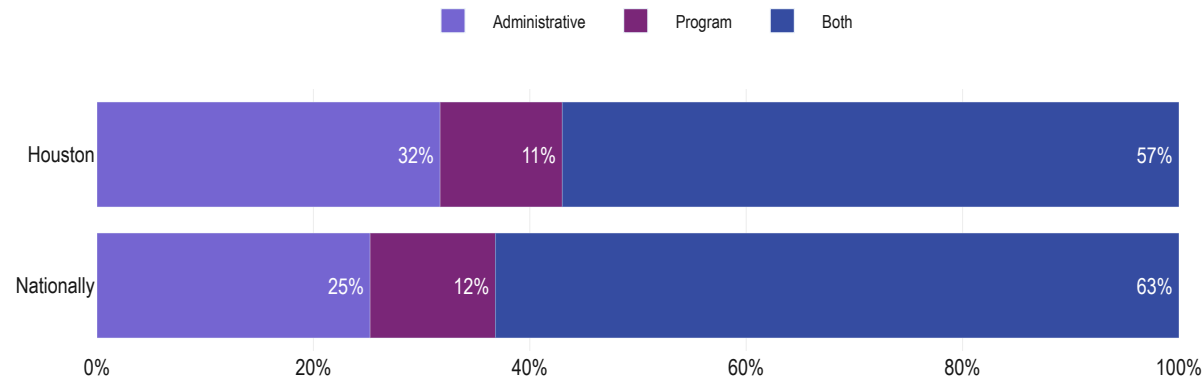
Primary Facility by discipline



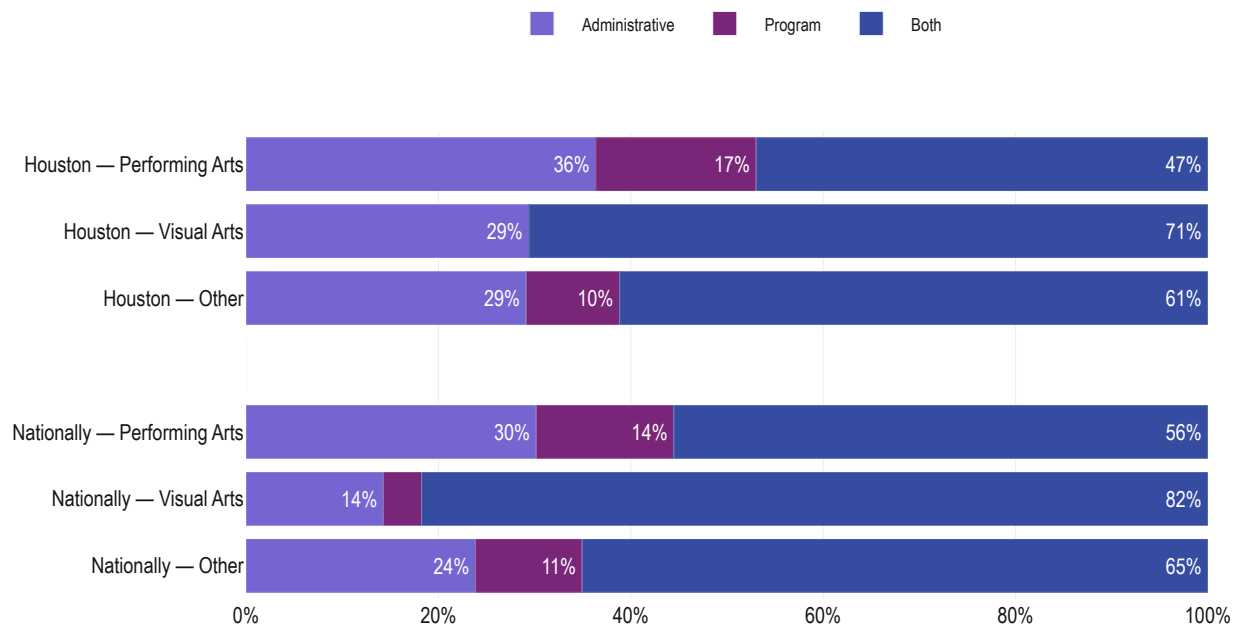
Primary Facility Use

How organizations use their primary facility helps distinguish space dedicated primarily to administrative work, program delivery, or both functions. The chart summarizes the Memphis distribution overall and by discipline and budget size.

Primary Facility Use



Primary Facility Use by Discipline



Primary Facility Use by Budget Size

